SESSION 1

INTRODUCTION TO FINANCIAL ACCOUNTING

SCALER SCHOOL OF TECHNOLOGY

Learning Outcomes

Session 1: Introduction to Financial Accounting:

By the end of the session, learners will be able to:

- **Define** accounting and explain its purpose and objectives in a business context.
- **Identify** the key elements of accounting, including assets, liabilities, equity, income, expenses, gains, and losses.
- **Explain** the accounting equation and its role in maintaining the balance of a business's financial position.
- **Describe** the major accounting concepts and conventions and explain their importance in financial reporting.
- **Analyse** basic business transactions and identify their impact on assets, liabilities, equity, income, expenses, gains, and losses.
- **Apply** the accounting equation and basic accounting concepts to analyse simple business transactions.

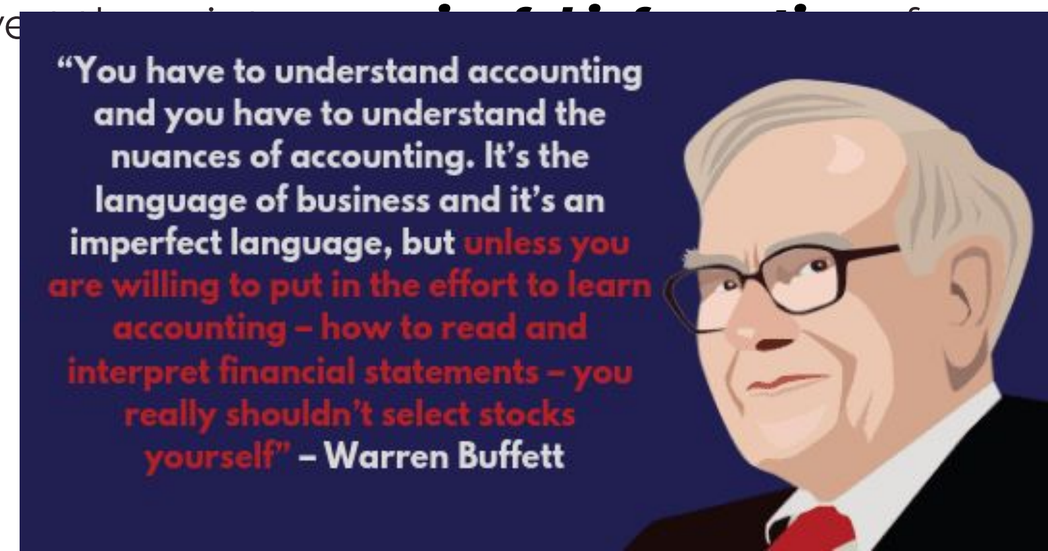
Accounting: Meaning

"Accounting is the art of recording, classifying and summarizing, in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof." — American Institute of Certified Public Accountants (AICPA).

- ❑ It is often called the ***language of business*** as it provides a systematic way of recording, classifying, summarizing, and interpreting financial transactions.

- ❑Every ***business activity*** —whether purchasing inventory, paying salaries, receiving customer payments, or borrowing funds—has a ***financial impact.***

- ❑Accounting helps organizations capture these impacts and conve[illegible] ***decision-making.***



Accounting: Objectives

Why Accounting Matters? Every organization, regardless of size or industry, needs answers to critical questions:

- ❑Is the business ***profitable?***
- ❑How much ***cash*** is available?
- ❑How much money do ***customers owe*** the business?
- ❑What ***liabilities*** must be paid in the future?
- ❑Is the business ***financially healthy?***
- ❑Should the business ***expand, invest, or reduce costs?***

Accounting provides reliable data to answer these questions.

Let’s look at them in a little more detail.

Accounting: Objectives

Accounting helps businesses record, measure, and communicate financial information. Its main objectives are:

❑**Maintain systematic records:**
To record all financial transactions accurately and in an organized manner. **For example,** a grocery store records daily sales, purchases, and expenses.

❑ **Determine profit & loss:**
To find out whether the business earned a profit or incurred a loss during the specific accounting period. This is the difference between total revenues (sales) and total expenses (costs).

❑ **Determine the financial position of the business:**
To show what the **business owns (assets)** and **owes (liabilities),** usually on the last date of the financial year *(31 March for most Indian companies).* You can ascertain the cash position, inventory level, outstanding loans & liabilities and customer balances due.

❑**Support decision-making:**
To provide financial information that helps management make informed business decisions. **For example,** deciding whether to open a new store or buy a new plant.

Accounting: Objectives

- **Safeguard assets:**
  To help monitor and protect business assets from errors, misuse, or fraud. **For example,** tracking inventory or cash in hand to identify shortages or theft.

- **Ensure legal compliance:**
  To maintain records required for taxation, audits, and regulatory reporting, such as preparing GST returns and financial statements.

- **Communicate information to stakeholders:**
  To provide useful information to owners, investors, banks, and government authorities. **For example,** a lender will review the audited financial statements & other records before approving a loan.

Accounting: Objectives

Example: Let us think of a retail store that serves hundreds of customers every day.

- The store sells products such as rice, vegetables, dairy items, snacks, and household goods.
- Every day, money flows into the business through customer sales, while money flows out to pay suppliers, employees, rent, and utility bills.
- At the end of the month, the store owner notices that the cash balance in the bank has increased. However, an important question remains:

"Is the business actually making a profit?"

This is where accounting plays a crucial role.

The store owner records:

- Daily sales revenue
- Cost of goods purchased
- Employee salaries
- Rent and utility expenses

At the end of the month, accounting information helps answer:

- What were the total sales generated in the month?
- What were the total expenses incurred?
- Did the store earning any profit (loss) through its operations?
- How much inventory is still remaining?

Accounting: Objectives

It provided management with additional information:

- Which products are most profitable?
- Whether advertising campaigns generate sufficient returns?
- Whether shipping costs are too high?
- How much cash is available for future growth?

Without accounting records, these decisions would be based on guesswork.

The primary objective of accounting is to provide accurate and reliable financial information that helps businesses measure performance, assess financial health, and make better decisions.

Users of Accounting

Accounting information is not prepared only for accountants, but are **used by various stakeholders** to evaluate business performance, make decisions, and assess the financial health of an organization.

Accounting users can be classified into two broad categories:

- **Internal users:** People **within** the organization who use accounting information to manage and improve business operations, such as management, employees etc.

- **External users:** People and organizations **outside** the business who use accounting information for investment, lending, regulatory, and other decisions, such as investors, lenders, customers, suppliers and general public at large.

Let us look at the requirements of each of these groups in detail.

Users of Accounting: Internal Users

Internal Users:

- **Management:** They rely heavily on accounting information for planning, controlling, and decision-making. They use financial information:
  - To **evaluate** profitability and performance
  - To **prepare** budgets and forecasts
  - To **control** costs and expenses
  - To **make** expansion and investment decisions

- **Example:** A retail chain uses accounting reports to identify its most profitable stores and decide where to open new branches.

Users of Accounting: Internal Users

Internal Users:

- **Employees:** They are one of the most **important stakeholders** in a business and are interested in the company's financial health because it affects their **careers and future opportunities.**

They use financial statements:

- To **assess** job security
- To **evaluate** prospects for salary increases and bonuses
- To **understand** the company's growth and stability (long-run sustainability)

- **Example:** Employees of a company reporting strong profits may expect better incentives and career growth opportunities.

Users of Accounting: Internal Users

External Users:

- **Shareholders (Owners) & Investors:** **They** invest **capital** in the business and use accounting information to monitor the performance of their investment.

They use financial statements:

- To **measure** business performance and profit
- To **evaluate** business growth
- To **assess return on investment (ROI)** on their capital investment
- To **compare** investment opportunities

- **Example:** Shareholders review annual financial statements, quarterly and semi-annual statements to determine whether the company is creating value.

Users of Accounting: Internal Users

External Users:

- **Lender & other financial institutions: Banks** use accounting information to evaluate a company's **ability to repay** borrowed funds, **i.e., service their debt obligations.**

They use financial statements:

- To **assess creditworthiness** of the company
- To make lending decisions
- To ascertain **liquidity** and **solvency** of the business
- Evaluate debt levels

- **Example:** A bank reviews audited financial statements before approving a business loan to a corporate.

Users of Accounting: Internal Users

External Users:

- **Suppliers & Creditors:** Suppliers often provide goods on credit and need assurance that payments will be made on time. They use financial statements:
  - To **evaluate** financial stability
  - To **determine** credit limits
  - To **ascertain payment capability**

- **Example:** A supplier may examine a company's financial position before extending additional credit.

- **Government & Regulatory Authority:** Government agencies use accounting information to ensure compliance with laws and regulations. They:
  - **Verify** tax payments
  - **Monitor** compliance with accounting standards
  - **Regulate** business activities

- **Example:** Tax authorities review accounting records to verify GST and income tax filings.

Accounting: Types

Accounting can be divided into **different types** to meet the needs of the various types of users.

Some of the major types of accounting are:

- **Financial Accounting:** It focuses on recording business transactions and preparing financial statements for external stakeholders such as investors, banks, regulators, and shareholders. They present the financial performance and financial position of a business.

- **Management Accounting:** They provide information specifically for internal decision-making to managers for planning, controlling, and decision-making. They are future oriented.

- **Cost Accounting:** Cost accounting focuses on identifying, measuring, analyzing, and controlling the costs associated with producing goods or services. Its primary objective is to determine the true cost of operations and help management improve efficiency.

- **Tax Accounting:** It focuses on complying with tax laws and determining the correct amount of tax payable by a business. Unlike financial accounting, which follows accounting standards, tax accounting follows tax regulations prescribed by government authorities.

- **Auditing:** Auditing is the independent examination and verification of financial records and financial statements.

- **Forensic Accounting:** It is a branch of accounting that investigates fraud and financial irregularities using accounting evidence.

Accounting: Types

Comparison of various accounting types:

Accounting Types	Purpose	Main Users	Focus
Financial Accounting	Records transactions & prepares financial statements for reporting purposes.	Investors, lenders, shareholders, regulators, government etc.	Statement of financial position, statement of profit and loss & cash flow statement
Tax Accounting	Calculates tax liabilities and ensures compliance with tax laws and regulations	Tax authorities, management	Taxable income, tax deductions, tax payments, tax filings.
Management Accounting	Provides information for planning, decision-making, and performance evaluation	Managers and executives	Budgets, forecasts, profitability analysis, strategic decisions
Cost Accounting	Determines and controls the cost of products, services, and operations	Management	Material, labor, and overhead costs
Auditing	Independently examines financial records to ensure accuracy and reliability	Shareholders, investors, regulators, management	Verification, compliance, internal controls, financial reporting.

Accounting Concepts & Conventions

Accounting Concepts and Conventions are the basic principles and practices that guide how financial transactions are recorded, classified, measured, and reported.

They help ensure that financial statements are:

- Consistent
- Comparable
- Reliable
- Understandable
- Useful for decision-making

Accounting Concepts & Conventions

Accounting Concepts:

The major accounting concepts are:

✔Business Entity Concept
✔Going Concern Concept
✔Money Measurement Concept
✔Accounting Period Concept
✔Historical Cost Concept
✔Dual Aspect Concept
✔Accrual Concept
✔Matching Concept
✔Realisation/Revenue Recognition Concept

Accounting Concepts & Conventions

Accounting Concepts:

The major accounting concepts are:

- **Business Entity Concept:** The business entity concept treats the business as separate from its owner for accounting purposes. **Even though Jeff Bezos owns Amazon Inc, the accounting records of Amazon Inc should be maintained separately from Jeff Bezos's personal transactions.**

- **Going Concern Concept:** The going concern concept assumes that the business will continue operating for the foreseeable future rather than being immediately closed or liquidated.

- **Money Measurement Concept:** Only transactions that can be reliably measured in monetary terms are generally recorded in the accounting system.

- **Accounting Period Concept:** Although a business may operate for many years, its performance needs to be measured for specific periods. These might be:
  - Monthly
  - Quarterly
  - Half-yearly
  - Annually

For example, the current financial year for most Indian companies is 1 April 2026 – 31 March 2027 is the accounting year.

Accounting Concepts & Conventions

Accounting Concepts:

The major accounting concepts are:

❑**Historical Cost Concept:** Under the traditional historical cost concept, assets are initially recorded at their acquisition cost rather than simply at their current market value.

❑**Dual Aspect Concept:** Every **transaction** has at least **two accounting effects.** This is the foundation of **double-entry bookkeeping.**

It is expressed through: **Assets = Liabilities + Equity**

❑**Accrual Concept**: Under accrual accounting, **transactions** are generally **recognized** when the **economic activity occurs, not simply when cash is received or paid**.

Example: ABC Ltd runs a digital advertising campaign during March 2026. The advertising agency charges the company ₹1,00,000. However, ABC will pay the agency in April 2026.

✔The **advertising service** was **received** in **March 2026**, so the **₹1,00,000 expense belongs to March.**
✔ The company has incurred the expense in March 2026 even though it was paid in April 2026.

Accounting Concepts & Conventions

Accounting Concepts:

The major accounting concepts are:

- **Matching Concept:** The matching concept traditionally emphasizes recognizing expenses in the same accounting period as the revenues they help generate.

“In simple words, match the cost with the revenue it helped generate.”

Example: During 2026, FashionHub purchases 1,000 shirts at ₹1,000 each. It sells 600 shirts during the year for ₹1,800 each.

Total purchase cost = 1,000 x ₹1,000 = ₹10,00,000
Total sales = 600 x ₹1,800 = ₹10,80,000

While FashionHub purchased 1,000 shirts, it has sold only 600.

Therefore, the cost associated with the shirts sold is: 600 x ₹1,000=₹6,00,000 **(Cost of Goods Sold)**
The remaining 400 shirts are still inventory: 400 x ₹1,000 = ₹4,00,000

Applying the matching concept, Gross profit = ₹10,80,000 − ₹6,00,000 = ₹4,80,000

Accounting Concepts & Conventions

Accounting Concepts:

- **Realisation/Revenue Recognition Concept:** It explains when a business should recognize revenue in its accounting records.

- Revenue is recognized when it is earned, rather than simply when cash is received.

- It should be recognized when the relevant performance obligations are satisfied and the recognition requirements under the applicable accounting framework are met, rather than simply when cash is received.

Example: You purchase a 12-month Netflix subscription for ₹12,000 and pay the entire amount upfront on 1 April 2025. Does Netflix recognize ₹12,000 revenue immediately?

No, because Netflix has promised to provide access to its service for 12 months.
Assuming the service is provided evenly, ₹1,000 (₹12,000/12) will be recognised as revenue in April 2025 and so on for each month

Accounting Concepts & Conventions

Accounting Convention:

- **Consistency Convention:** The consistency convention suggests that once an accounting method is adopted, it should generally be applied consistently from period to period unless there is a valid reason to change it.

  Example: Suppose AB Ltd uses a particular depreciation method for its equipment. If it changes the method every year simply to manipulate reported profit, financial statements become difficult to compare.

- **Prudence / Conservatism Convention:** The traditional prudence convention suggests that accountants should exercise caution when making judgments under uncertainty and should avoid overstating assets or income.

- **Full Disclosure Convention:** Financial statements should provide users with material information necessary to understand the company's financial position and performance.

- **Materiality:** Materiality means that information is important if its omission, misstatement, or obscuring could reasonably be expected to influence the decisions of users of financial statements.

Accounting Equation:

The **Accounting Equation** is the foundation of **double-entry accounting.**

- It explains how everything a **business** owns is **financed**—either through **money owed to outsiders (liabilities)** or through the **owners' investment and accumulated profits (equity).** It is represented by the following equation.

Assets = Liabilities + Equity

- The **equation** must **always remain balanced** after every business transaction.

Accounting Equation: Assets

Assets are economic resources **owned** and **controlled** by the business that is expected to provide **future economic benefits (what a business owns).**

Major types of assets:

A. Current Assets: These are assets expected to be realized, sold, consumed or converted into cash within the company's normal operating cycle or generally within 12 months. Examples of current assets are:

- Cash
- Bank balance
- Accounts receivable
- Inventory
- Short-term investments
- Prepaid expenses

B. Non-Current Assets: These are resources expected to provide benefits over a longer period. Examples of non-current assets are:

- Buildings
- Machinery
- Computers
- Vehicles
- Long-term investments
- Certain intangible assets
- Right-of-use assets

Accounting Equation: Liabilities

Liabilities represents an **obligation** of the business to an external party **(what a business owes).**

Major types of liabilities:

A. Current Liabilities: These are obligations expected to be settled within the company's normal operating cycle or generally within 12 months. Examples of current liabilities are:

- Accounts payable
- Salaries payable
- Interest payable
- Taxes payable
- Short-term borrowings

B. Non-Current Liabilities: These are obligations generally due beyond the next 12 months. Examples of non-current liabilities are:

- Long-term bank loans
- Long-term bonds
- Certain lease liabilities

Accounting Equation: Equity

Equity represents the **owners' residual claim** on the business after **liabilities** are **deducted** from **assets.**

Equity = Assets – Liabilities

Equity can arise from:

- Capital invested by owners
- Profits retained in the business
- Additional owner contributions

Equity is reduced by:

- Business losses
- Drawings/dividends paid to owners

For a simple small business or Proprietorship, Equity = Owners' Capital + Profit – Drawings

For a Company form of business/Corporation, Equity = Share Capital + Retained Earnings + Other Reserves

Accounting Equation: Equity

An **accounting equation** is made up of the following elements:

- ✔Assets
- ✔Liabilities
- ✔Equity
- ✔Income / Revenue
- ✔Expenses
- ✔Gains
- ✔Losses

Assets = Liabilities + Equity

Income, expenses, gains and losses affect equity:

Equity = Income – Expenses + Gains – Losses

Accounting Equation: Example

Identify the elements in the following accounting transactions:

✔GreenBite Cafe is started by Ananya, who invests ₹8,00,000 into the business bank account.

✔The cafe borrows ₹4,00,000 from the bank, and the amount is deposited into the business bank account.

✔The cafe provides catering services worth ₹1,20,000 to a corporate customer on credit.

✔It incurs ₹50,000 of food and other catering expenses.

✔GreenBite Cafe sells an old commercial refrigerator for ₹90,000 cash. The refrigerator has a carrying amount of ₹70,000.

✔The cafe pays ₹40,000 for monthly rent.

✔It also sells an old coffee machine for ₹30,000 cash. The coffee machine has a carrying amount of ₹45,000.

Accounting Equation: Example

Identify the elements in the following accounting transactions:

Transaction	Asset	Liability	Equity	Income	Expense	Gain	Loss
1. Ananya invests ₹8,00,000 into the business bank account.	Yes	—	Yes	—	—	—	—
2. GreenBite Café borrows ₹4,00,000 from the bank.	Yes	Yes	—	—	—	—	—
3. Café provides catering services worth ₹1,20,000 on credit and incurs ₹50,000 of catering expenses.	Yes	—	Yes	Yes	Yes	—	—
4. Café sells an old refrigerator for ₹90,000. Its carrying amount is ₹70,000.	Yes	—	Yes	—	—	Yes	—
5. Café pays ₹40,000 rent and sells an old coffee machine for ₹30,000. Its carrying amount is ₹45,000.	Yes	—	Yes	—	Yes	—	Yes

Accounting Equation: Example

Identify the elements in the following accounting transactions:

✔Priya starts BrightStart Bakery by investing ₹10,00,000 into the business bank account.

✔BrightStart Bakery obtains a ₹5,00,000 bank loan, which is deposited into the business bank account.

✔The bakery sells cakes and pastries worth ₹2,00,000 on credit. The bakery incurs ₹80,000 of ingredient and packaging expenses.

✔The bakery sells an old delivery van for ₹3,50,000 cash. The van has a carrying amount of ₹3,00,000.

✔The bakery pays ₹50,000 for shop rent and sells an old oven for ₹1,20,000 cash. The oven has a carrying amount of ₹1,50,000.

Accounting Equation: Example

Identify the elements in the following accounting transactions:

Transaction	Asset	Liability	Equity	Income	Expense	Gain	Loss
1. Priya invests ₹10,00,000	—	—	—	—	—	—	—
2. Bank loan of ₹5,00,000	—	—	—	—	—	—	—
3. Credit sales ₹2,00,000 and expenses ₹80,000	—	—	—	—	—	—	—
4. Van sold for ₹3,50,000; carrying amount ₹3,00,000	—	—	—	—	—	—	—
5. Rent ₹50,000 and oven sold for ₹1,20,000; carrying amount ₹1,50,000	—	—	—	—	—	—	—

Accounting Equation: Example

Identify the elements in the following accounting transactions:

Transaction	Asset	Liability	Equity	Income	Expense	Gain	Loss
1. Priya invests ₹10,00,000	Yes	—	Yes	—	—	—	—
2. Bank loan of ₹5,00,000	Yes	Yes	—	—	—	—	—
3. Credit sales ₹2,00,000 and expenses ₹80,000	Yes	—	Yes	Yes	Yes	—	—
4. Van sold for ₹3,50,000; carrying amount ₹3,00,000	Yes	—	Yes	—	—	Yes	—
5. Rent ₹50,000 and oven sold for ₹1,20,000; carrying amount ₹1,50,000	Yes	—	Yes	—	Yes	—	Yes

Accounting Equation: Example

Example 1: Rahul's Cafe Shop

✔ Rahul starts a cafe business with ₹ 5,00,000 on 1 January 2025.
✔ The business incurs ₹ 3,00,000 as cash expenses.
✔ The business sold coffee worth ₹ 4,00,000 for cash.
✔ Rahul withdraws ₹ 50,000 on 31 December 2025 for his personal use.

Explain the transaction of Rahul’s Cafe business using the Accounting Equation.

Accounting Equation: Example

Example: Rahul's Cafe Shop

✔ **Rahul starts a cafe business with ₹ 5,00,000 on 1 January 2025. (The business receives cash)**

	Assets	=	Liabilities	+	Equity
Cash	₹5,00,000		₹0	+	₹5,00,000

✔ **The business incurs ₹ 3,00,000 as cash expenses.**

	Assets	=	Liabilities	+	Equity
Cash	₹2,00,000		₹0	+	₹2,00,000

[₹3,00,000 deducted from both assets & equity]

✔**The business sold coffee worth ₹4,00,000 as cash expenses.**

	Assets	=	Liabilities	+	Equity
Cash	₹6,00,000		₹0	+	₹6,00,000

[₹4,00,000 added to both assets & equity]

✔**Rahul withdrew cash ₹50,000 for personal use**

	Assets	=	Liabilities	+	Equity
Cash	₹5,50,000		₹0	+	₹5,50,000

[₹50,000 deducted to both assets & equity.]

#Cash withdrawn for personal use is treated as drawings and it is adjusted against equity

Accounting Equation: Example

Example 2: Tech Star Ltd.

✔Tech Star Ltd. issues shares to investors in 1 January 2025 and receives ₹10,00,000.
✔ During the year, TechStar Ltd. generates ₹8,00,000 revenues (credit sales) and spends ₹5,00,000 (credit) as expenses.
✔ On 1 December 2025, TechStar Ltd. decides to distribute ₹1,00,000 to its shareholders as dividend.

Explain the transactions of TechStar Ltd. using the Accounting Equation.

Accounting Equation: Example

Example: of TechStar Ltd.

✔Tech Star Ltd. issues shares to investors in 1 January 2025 and receives ₹10,00,000 (The company issued shares & receives cash).

	Assets	=	Liabilities	+	Equity
Cash	₹10,00,000		₹0	+	₹10,00,000

✔ During the year, TechStar Ltd. generates ₹8,00,000 revenues (credit sale) and spends ₹5,00,000 (credit) as expenses.

Assets	=	Liabilities	+	Equity	[₹8,00,000 credit sales]
Cash ₹10,00,000 + Receivables (₹8,00,000)		₹0	+	₹10,00,000 + ₹8,00,000	

Assets	=	Liabilities	+	Equity	[₹8,00,000 credit expenses]
Cash ₹10,00,000 + Receivables ₹8,00,000		₹5,00,000	+	₹10,00,000 + ₹8,00,000 - ₹5,00,000	

✔On 1 December 2025, TechStar Ltd. decides to distribute ₹1,00,000 to its shareholders as dividend.

Assets	=	Liabilities	+	Equity	[₹1,00,000 dividend paid adjusted with cash & equity]
Cash ₹9,00,000 + Receivables ₹8,00,000		₹5,00,000	+	₹900,000 + ₹8,00,000 - ₹5,00,000	

Thank You!